

Insurance - Senior Management Functions

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_ ;
2. (2) in accordance with Insurance General Application 3, the _Society_ , as modified by 11;
3. (3) in accordance with Insurance General Application 3, _managing agents_ , as modified by 11;
4. (4) a _third country branch undertaking_ (other than a _Swiss general insurer_);
5. (5) a _UK ISPV_ , in accordance with 12; and
6. (6) a _third country insurance services provider_.

1.2

In this Part, the following definitions shall apply:

Chair of the Governing Body function

has the meaning given in 4.1.

Chair of Audit Committee function

has the meaning given in 4.3.

Chair of Remuneration Committee function

has the meaning given in 4.4.

Chair of Risk Committee function

has the meaning given in 4.2.

Chief Actuary function

has the meaning given in 7.1.

Chief Executive function

has the meaning given in 3.1 or 12.3 (as applicable).

Chief Finance function

has the meaning given in 3.2.

Chief Operations function

has the meaning given in 3.7.

Chief Risk function

has the meaning given in 3.3.

Chief Underwriting Officer function

has the meaning given in 9.2.

Group Entity Senior Manager function

has the meaning given in 5.1.

group executive

has the meaning given in 13.4.

Head of Internal Audit function

has the meaning given in 3.4.

Head of Key Business Area function

has the meaning given in 3.5.

Head of small run-off firm function

has the meaning given in 6A.2.

Head of Third Country Branch function

has the meaning given in 6.2.

Senior Independent Director function

has the meaning given in 4.5.

Underwriting Risk Oversight function

has the meaning given in 10.2.

With-Profits Actuary function

has the meaning given in 8.2.

2

General

2.1

Each of the functions in 3 ? 10 and 12 is a controlled function and a PRA senior management function.

2.2

PRA senior management function holders must each be approved by the _PRA_ to perform the applicable _PRA senior management function_.

2.3

1. (1) A firm (other than a third country branch undertaking, a firm that does not have an establishment in the UK, a small run-off firm, or a UK ISPV) must ensure that one or more persons performs each of the following PRA senior management functions on its behalf:

1. (a) the Chief Executive function;
2. (b) the Chief Finance function; and
3. (c) the Chair of the Governing Body function.

2. (2) If a vacancy arises in respect of one or more of the PRA senior management functions set out in (1), a firm must ensure that it appoints a person to fill that vacancy as soon as practicable.

2.4

To the extent that:

1. (1) a _firm_ appoints a _person_ to perform a _key function_ which, but for this rule, would be a _PRA senior management function_;
2. (2) the appointment is solely to provide cover for a _PRA senior management function holder_ whose absence is:
 1. (a) temporary; or
 2. (b) reasonably unforeseen; and
3. (3) the appointment is for less than 12 weeks in a consecutive 12-month period,

the description of the applicable _PRA senior management function_ does not relate to those activities of that _person_.

2.5

1. (1) If, in relation to a _firm_ , a _PRA senior management function holder_ also performs _FCA activities_ , performance of the _PRA senior management function_ will include the performance of those _FCA activities_ , provided the following conditions are met:

1. (a) the _PRA's_ approval to perform that _PRA senior management function_ has been granted and continues in force;
2. (b) at the time of approval being granted by the _PRA_ , that _person_ was not subject to an _FCA approval_ to perform the particular _FCA governing function_;
3. (c) the _firm_ made an _FCA activities notification_ ; and
4. (d) that _person_ performs and is continuing to perform the _FCA activities_.

2. (2) If, in relation to a _firm_ , a _PRA senior management function holder_ has been performing _FCA activities_ in the circumstances set out in (1), and that _person_ :

1. (a) ceases to perform the _PRA senior management function_ ;
 2. (b) within three _months_ of ceasing performance, is approved to perform a new _PRA senior management function_ at the _firm_ ; and
 3. (c) continues to perform the _FCA activities_ ,
3. performance of the new _PRA senior management function_ will include the performance of those _FCA activities_ , provided the conditions in (1) (a) to (d) are met.

2.6

If a _PRA senior management function holder_ to whom 2.5 applies ceases to perform a _PRA senior management function_ but continues to perform the _FCA activities_ , 2.5(1) will continue to apply in respect of the performance of the _FCA activities_ until the earlier of:

1. (1) approval by the _FCA_ in respect of the performance by that _person_ of those _FCA activities_ as an _FCA governing function_ in relation to the _firm_ ; or
2. (2) three _months_ from the time that the _person_ ceased to perform that _PRA senior management function_.

2.6A

If a _PRA approved person_ :

1. (1) (other than in the circumstances set out in 2.5 or 2.6) performs one or more _FCA responsibilities_ ;
2. (2) ceases to perform any _PRA senior management function_ ; and
3. (3) does not have an _FCA approval_ to perform an _FCA controlled function_ in relation to that _firm_ ,
4. the functions in (1) will continue to be part of the _PRA senior management function_ that the _person_ most recently performed for that _firm_ until the earlier of:
 1. (a) approval by the _FCA_ in respect of the performance by that _person_ of an _FCA controlled function_ in relation to the _firm_ ; or
 2. (b) three _months_ from the time that the _person_ ceased to perform that _PRA senior management function_.

2.7

If a _firm_ that is not significant outsources its internal audit _function_ to an external third party service provider (that is, a service provider outside the _firm_ or the _firm?s_ _group_), the _firm_ is not required to have any _person(s)_ approved to perform the _Head of Internal Audit function_.

2.8

1. (1) A _firm_ (other than a _UK ISPV_) must take all reasonable steps to ensure that before a _person_ begins to perform:
 1. (a) a _PRA senior management function_ ; or
 2. (b) new or revised responsibilities in performance of a _PRA senior management function_ ,
 that _person_ is provided with all of the information and materials that the _person_ may reasonably expect in order to perform that _PRA senior management function_ or those new or revised responsibilities effectively and in accordance with the _regulatory system_.
3. (2) A _firm_ must:
 1. (a) have a written policy to ensure compliance with (1), including in relation to the systems and controls it uses;
 2. (b) ensure the policy under (a) is complied with; and
 3. (c) maintain adequate records of the steps taken to comply with (1).

3

Executive

3.1

The _Chief Executive function_ (SMF1) is the function of having responsibility, under the immediate authority of the _governing body_ , alone or jointly with others, for carrying out the management of the conduct of the whole of the business (or relevant activities) of a _firm_.

3.2

The _Chief Finance function_ (SMF2) is the function of having responsibility for the management of the financial resources of a _firm_ and reporting to the _governing body_ of a _firm_ in relation to its financial affairs.

3.3

The _Chief Risk function_ (SMF4) is the function of having responsibility for overall management of the risk management system specified in Conditions Governing Business 3.

3.4

The _Head of Internal Audit function_ (SMF5) is the function of having responsibility for the management of the internal audit _function_ specified in Conditions Governing Business 5.

3.5

The _Head of Key Business Area function_ (SMF6) is the function of having responsibility for management of a business area or division of a _firm_ (other than a _third country branch undertaking_) where:

1. (1) the relevant business area or division of the _firm_ accounts for more than 20% of the _firm?s_ gross revenue; and
2. (2) the _person_ performing that function does not report to a _person_ performing the _Head of Key Business Area function_ in respect of that same business area or division of the _firm_ ; and
3. (3) either the gross total assets or the _technical provisions_ of the relevant business area or division of the _firm_ exceed £10 billion.

3.6

For the purposes of 3.5, the gross total assets and _technical provisions_ of the business area or division of the _firm_ and the percentage of the gross revenue of the _firm_ shall be assessed on the basis of either:

1. (1) the assets, _technical provisions_ and revenues for the business area or division and the _firm_ for the _firm?s_ financial year immediately preceding that in which the _person_ is allocated with the specified responsibilities; or
2. (2) if the threshold amount is not met for that period, on the basis of the annual average amount assessed across a rolling period of five years, assessed by reference to the _firm?s_ annual accounting date; and where the _firm_ or the business area or division has been in existence for less than five years, the assessment will be made on the basis of the annual average amount for the period during which the _firm_ or that business area or division has existed (calculated by reference to the _firm?s_ annual accounting date).

3.7

The _Chief Operations function_ (SMF24) is the function of having responsibility for the internal operations and technology of a _firm_.

4

Oversight

4.1

The _Chair of the Governing Body function_ (SMF9) is the function of having responsibility for chairing, and overseeing the performance of the _governing body_ of a _firm_.

4.2

The _Chair of Risk Committee function_ (SMF10) is the function of having responsibility for chairing, and overseeing the

performance of any committee responsible for the oversight of the risk management system specified in Conditions Governing Business 3.

4.3

The _Chair of Audit Committee function_ (SMF11) is the function of having responsibility for chairing and overseeing the performance of any committee responsible for the oversight of the internal audit _function_ specified in Conditions Governing Business 5.

4.4

The _Chair of Remuneration Committee function_ (SMF12) is the function of having responsibility for chairing and overseeing the performance of any committee responsible for the oversight of the design or implementation of the remuneration policies and practices of a _firm_.

4.5

The _Senior Independent Director function_ (SMF14) is the function of performing the role of a senior independent _director_, and having particular responsibility for leading the assessment of performance of the _person_ performing the _Chair of the Governing Body function_.

5

Group Entities

5.1

The _Group Entity Senior Manager function_ (SMF7) is the function of having a significant influence on the management or conduct of one or more aspects of the affairs of a _firm_ in relation to its _regulated activities_ (other than in the course of the performance of another _PRA senior management function_) and which is performed by a _person_ employed by, or an officer of:

1. (1) a _parent undertaking_ or holding company of a _firm_; or
2. (2) another _undertaking_ which is a member of the _firm?s_group_.

6

Head of Third Country Branch

6.1

This Chapter applies only to a _firm_ that is a _third country branch undertaking_ or a _third country insurance services provider_ (other than a _Swiss general insurer_).

6.1A

1. (1) 6.2, 6.3, 6.4 and 6.5 shall not apply to a _SRO firm_.
2. (2) 6.6 and 6.7 apply only to a _SRO firm_.

6.2

The _Head of Third Country Branch function_ (SMF19) is the function of having responsibility for:

1. (1) the conduct of all activities of the _third country branch undertaking_ that are subject to the _regulatory system_; or

2. (2) the conduct of all activities of the _third country insurance services provider_ that are subject to the _regulatory system_.

6.3

1. (1) A _third country branch undertaking_ or a _third country insurance services provider_ must have at least one _person_ approved to perform the _Head of Third Country Branch function_.

2. (2) If a vacancy arises in respect of the _Head of Third Country Branch function_ , a _third country branch undertaking_ or a _third country insurance services provider_ must ensure that it appoints a _person_ to fill that vacancy as soon as possible.

6.4

A _third country branch undertaking_ or a _third country insurance services provider_ that transacts _with-profits insurance business_ must have at least one _person_ approved to perform the _With-Profits Actuary function_ (SMF20a).

6.5

A _third country branch undertaking_ or a _third country insurance services provider_ is not required to have any _person_(s) approved to perform any of the other _PRA senior management functions_.

6.6

A _SRO firm_ must ensure that at least one _person_ performs the _Head of Third Country Branch Function_ on its behalf and if a vacancy arises in respect of that function it must ensure that it appoints a _person_ to fill the vacancy as soon as possible.

6.7

For the purposes of 6.6 the _Head of Third Country Branch Function_ (SMF 19) is the function of having responsibility to oversee the orderly run-off of the _firm_'s _regulated activities_ in the _UK_.

6A

Head of Small Run-off Firm

6A.1

This Chapter applies only to a _small run-off firm_.

6A.2

The _Head of small run-off firm function_ (SMF26) is the function of:

1. (1) having responsibility for the conduct of the _regulated activities_ ; or
2. (2) chairing the _governing body_

of a _small run-off firm_.

6A.3

1. (1) A _small run-off firm_ must ensure that one or more _persons_ performs the _Head of small run-off firm function_ or the _Chief Executive function_ on its behalf.

2. (2) A _small run-off firm_ must ensure that there is a _person_ appointed to the _Head of small run-off firm function_

or the _Chief Executive function_ who has ultimate responsibility for the conduct of the _regulated activities_ of the _small run-off firm_.

3. (3) If a vacancy arises in respect of that aspect of the _Head of small run-off firm function_ or the _Chief Executive function_ referred to in (2) above, a _small run-off firm_ must ensure that it appoints a _person_ to fill that vacancy as soon as practicable.

6A.4

A _small run-off firm_ must have at least one _person_ approved to perform the _Chief Finance function_ (SMF2).

6A.5

A _small run-off firm_ that transacts _with-profits insurance business_ must have at least one _person_ approved to perform the _With-Profits Actuary function_ (SMF20a).

6A.6

A _small run-off firm_ is not required to have any _person_(s) approved to perform any of the other _PRA senior management functions_.

7

Chief Actuary

7.1

The _Chief Actuary function_ (SMF20) is the function of having responsibility for the actuarial _function_ specified in Conditions Governing Business 6.

8

With-Profits Actuary

8.1

This Chapter applies only to _firms_ that carry on _with-profits insurance business_.

8.2

The _With-Profits Actuary function_ (SMF20a) is the function of having responsibility for advising the _governing body_ of a _firm_ transacting _with-profits insurance business_ on the exercise of discretion affecting part or all of that business, as described more fully in Actuaries 5.1.

9

Chief Underwriting Officer

9.1

This Chapter applies only to _firms_ that carry on _general insurance business_ and to _managing agents_.

9.2

The _Chief Underwriting Officer function_ (SMF23) is the function of having responsibility, in respect of the _firm?s_ _general insurance business_, for the underwriting decisions in respect of material insurance risks that:

1. (1) in relation to _firms_ that carry on _general insurance business_, are borne by the _firm_ ; or
2. (2) in relation to _managing agents_, are borne by _members_.

10

Underwriting Risk Oversight

10.1

This Chapter applies only to the _Society_.

10.2

The _Underwriting Risk Oversight function_ (SMF23a) is the function of overseeing and influencing underwriting plans by _managing agents_ in respect of risks borne by _members_.

11

Lloyd's

11.1

This Part applies to the _Society_ and _managing agents_ separately.

12

UK ISPVs

12.1

This Chapter applies only to _firms_ that are _UK ISPVs_.

12.2

[Deleted]

12.3

The Chief Executive function (SMF1) for a UK ISPV is the function of having responsibility for:

1. (1) the conduct of all activities of the UK ISPV that are subject to the regulatory system; and
2. (2) where the UK ISPV has a services provider, the conduct of all activities of the services provider that are subject to the regulatory system.

12.4

1. (1) A UK ISPV must have at least one person approved to perform the Chief Executive function.
2. (2) If a vacancy arises in respect of the Chief Executive function, the UK ISPV must ensure that it appoints a person to fill that vacancy as soon as possible.

12.5

A UK ISPV is not required to have any person(s) approved to perform any of the other PRA senior management functions.

13

Combination of PRA Senior Management Functions

13.1

This Chapter does not apply to a _third country branch undertaking_ or to a _firm_ that does not have an establishment in the _UK_.

13.2

A _large firm_ must ensure that a _person_ who performs the _Chair of the Governing Body function_ on its behalf does not perform the _Chief Executive function_ within the same _firm_.

13.3

A _large firm_ that is a member of a _group_ must ensure that a _group executive_ does not perform any of the following functions in respect of the _firm_ :

1. (1) the _Chair of the Governing Body function_ (SMF9);
2. (2) the _Chair of Risk Committee function_ (SMF10);
3. (3) the _Chair of Audit Committee function_ (SMF11);
4. (4) the _Chair of Remuneration Committee function_ (SMF12); or
5. (5) the _Senior Independent Director function_ (SMF14).

13.4

A _group executive_ means, in relation to a _large firm_ , a _person_ who is an _officer_ or _employee_ of and performs an executive function at:

1. (1) a _parent undertaking_ or holding company of the _large firm_ ; or
2. (2) an undertaking which is a member of the same _group_ as the _large firm_.